SMALL BUSINESS LOAN APPLICATION

SBA Form 1919 - Zava Business Lending

APPLICATION HEADER

Application Number: ZBL-2024-12543
Application Date: December 18, 2024
Loan Officer: Robert Thompson
Branch: Zava Business Lending - Tech Hub Branch

SECTION 1: BUSINESS INFORMATION

Business Details

Legal Business Name: TechFlow Solutions, LLC

Doing Business As (DBA): TechFlow Consulting

Employer Identification Number (EIN): 45-2876543

Business Type: Limited Liability Company (LLC)

State of Formation: California

Date Business Established: October 15, 2021

Years in Business: 3 years, 2 months

NAICS Code: 541511 - Custom Computer Programming Services

Industry Description: Enterprise software development and IT consulting services

Number of Employees: 12

Number of Locations: 2 (Headquarters + branch office)

Business Address:
1500 Innovation Way, Suite 200
San Francisco, CA 94103

Business Phone: (415) 555-8432

Website: <www.techflowsolutions.com>

SECTION 2: LOAN REQUEST

Loan Amount Requested: $450,000

Requested Loan Program: SBA 7(a) Standard Loan

Loan Purpose: Working Capital and Equipment Purchase

Specific Use of Proceeds:

- New Development Servers: $120,000
- Office Equipment and Software Licenses: $65,000
- Working Capital Reserve: $265,000

Desired Loan Term: 84 months (7 years)

SECTION 3: OWNER/GUARANTOR INFORMATION

Primary Owner

Full Legal Name: Jennifer Rodriguez

Title: CEO and Managing Member

Ownership Percentage: 65%

Social Security Number (last 4): XXX-XX-7834

Date of Birth: July 12, 1985

Home Address:
789 Market Street, Apt 15
San Francisco, CA 94102

Phone: (415) 555-4321

Email: jennifer@techflowsolutions.com

Years with Business: 3 years (Founder)

Secondary Owner

Full Legal Name: David Park

Title: CTO and Member

Ownership Percentage: 35%

Social Security Number (last 4): XXX-XX-2156

Date of Birth: March 8, 1987

Home Address:
456 Valencia Street
San Francisco, CA 94103

SECTION 4: FINANCIAL INFORMATION

Income Statement (Most Recent 12 Months - 2024 YTD)

Fiscal Year Ending: December 31, 2024 (projected)

Line Item	Amount
Gross Revenue	**$1,850,000**
Cost of Revenue	
Subcontractor Services	$280,000
Software Licenses & Tools	$85,000
Direct Labor (Billable)	$420,000
Total Cost of Revenue	**$785,000**
Gross Profit	**$1,065,000**
Gross Profit Margin	**57.6%**
Operating Expenses	
Payroll (Non-billable Staff)	$285,000
Rent (2 offices)	$96,000
Utilities & Internet	$18,000
Insurance & Compliance	$28,000
Marketing & Business Development	$65,000
Office Supplies & Equipment	$12,000
Professional Services (Legal, Accounting)	$22,000
Travel & Client Meetings	$35,000
Depreciation	$18,000
Other Operating Expenses	$16,000
Total Operating Expenses	**$595,000**
EBITDA	**$470,000**
Interest Expense (existing debt)	$(15,000)$
Taxes (estimated)	$(78,000)$
Net Income (Bottom Line)	**$377,000**

Line Item	Amount
Net Profit Margin	**20.4%**

Prior Year (2023) Annual Revenue: $1,420,000 (+30.3% growth YoY)

Balance Sheet (As of December 18, 2024)

ASSETS

Asset Category	Amount
Current Assets	
Cash in Business Bank Accounts	$185,000
Accounts Receivable (unpaid invoices)	$240,000
Prepaid Expenses	$18,000
Total Current Assets	**$443,000**
Fixed Assets	
Computer Equipment & Servers	$95,000
Office Furniture & Fixtures	$32,000
Vehicles (2 company cars)	$55,000
Accumulated Depreciation	$(38,000)$
Total Fixed Assets (Net)	**$144,000**
Other Assets	
Software & Intellectual Property	$28,000
Goodwill (from acquisition)	$15,000
Total Other Assets	**$43,000**
TOTAL ASSETS	**$630,000**

LIABILITIES

Liability Category	Amount
Current Liabilities	
Accounts Payable	$85,000
Short-term Line of Credit	$50,000
Current Portion of Term Loan (due within 12 months)	$12,000

Liability Category	Amount
Sales Tax Payable	$8,000
Total Current Liabilities	**$155,000**
Long-term Liabilities	
Equipment Financing (36 months remaining)	$35,000
Total Long-term Liabilities	**$35,000**
TOTAL LIABILITIES	**$190,000**

OWNERS' EQUITY

Item	Amount
Initial Capital Contribution (2021)	$150,000
Retained Earnings (profits reinvested)	$290,000
TOTAL OWNERS' EQUITY	**$440,000**

BALANCE SHEET VERIFICATION:
Assets $630,000 = Liabilities $190,000 + Equity $440,000 ✓

SECTION 5: EXISTING DEBT & MONTHLY OBLIGATIONS

Existing Business Debt

Lender	Type	Original	Current Balance	Monthly Payment	Rate	Maturity
Premier Equipment Finance	Equipment Loan	$60,000	$35,000	$1,450	5.5%	2025-12-15
Zava Business Bank	Line of Credit	$100,000	$50,000	Variable	6.25%	Revolving
Total Monthly Debt Service				**$1,450**		

Note: Line of Credit shows $50,000 balance but unused available credit is $50,000

SECTION 6: OWNER CREDIT & GUARANTEES

Primary Owner - Jennifer Rodriguez

Credit Score (FICO): 748

Credit Profile:

- No collections or charge-offs
- Payment history: Excellent (all accounts paid on-time)
- Revolving utilization: 22% (low)
- No public records (bankruptcies, liens, judgments)
- Length of credit history: 15 years

Secondary Owner - David Park

Credit Score (FICO): 721

Credit Profile:

- No collections or charge-offs
- Payment history: Excellent
- One small authorized user account
- No public records
- Length of credit history: 12 years

SECTION 7: COLLATERAL OFFERED

Real Estate Collateral

Property Address: 1500 Innovation Way, San Francisco, CA 94103

Appraised Value: $2,800,000

Current Mortgage Balance: $1,600,000 (first lien position)

Equity Available: $1,200,000

Estimated Collateral Value (for this loan, 50% LTV on equity): $600,000

Equipment & Business Assets

Description: Company-owned equipment, software, and inventory

Estimated Value: $145,000

- Servers & Network Equipment: $95,000
- Office Equipment: $32,000
- Vehicles (net): $18,000 (second lien possible)

Accounts Receivable

Outstanding A/R: $240,000

Percentage offered as collateral: 75% (typical for good quality receivables)

A/R Collateral Value: $180,000

Total Collateral Offered: $825,000 (covers proposed $450,000 loan with 1.83x coverage)

SECTION 8: BANK STATEMENTS & CASH FLOW

Recent Banking Activity (Last 3 Months)

November 2024 Summary:

- Beginning Balance: $168,000
- Total Deposits: $512,000 (9 large client invoices)
- Total Withdrawals: $495,000 (payroll, vendors, operating expenses)
- Ending Balance: $185,000
- Average Daily Balance: $178,000

October 2024 Summary:

- Ending Balance: $192,000
- Average Daily Balance: $185,000

September 2024 Summary:

- Ending Balance: $168,000
- Average Daily Balance: $172,000

3-Month Average Bank Balance: $178,333

Average Monthly Deposits: $485,000 (primarily client payments)

SECTION 9: CRITICAL UNDERWRITING METRICS (Auto-Calculated)

Debt Service Coverage Ratio (DSCR)

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DSCR = EBITDA ÷ (Existing Monthly Debt + Proposed New Monthly Payment)

Proposed Loan: $450,000 @ 6.75% over 84 months = $6,582/month

Total Monthly Debt Service = $1,450 (existing) + $6,582 (proposed) = $8,032

DSCR = $470,000 annual EBITDA ÷ ($8,032 × 12 months)
DSCR = $470,000 ÷ $96,384
DSCR = 4.87 ✓ (FAR EXCEEDS 1.25 minimum requirement)
```

Result: EXCELLENT DSCR - business generates nearly 5x the cash needed for all debt service

Leverage Ratios

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Debt-to-Equity = Total Liabilities ÷ Owners' Equity
                = $190,000 ÷ $440,000
                = 0.43 (or 43%) ✓ (Conservative leverage)

Current Ratio = Current Assets ÷ Current Liabilities
              = $443,000 ÷ $155,000
              = 2.86 ✓ (Strong liquidity)
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Loan-to-Value (on Real Estate Collateral)

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LTV = Proposed Loan ÷ Real Estate Appraised Value
    = $450,000 ÷ $2,800,000
    = 16% ✓ (Extremely low - excellent security)
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Business Age

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Years Established = 3 years, 2 months
Minimum Requirement = 24 months
Status = ✓ MEETS REQUIREMENT
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Owner Credit

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Primary Owner FICO: 748 ✓ (Exceeds 650 minimum)
Secondary Owner FICO: 721 ✓ (Exceeds 650 minimum)
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SECTION 10: GROWTH TRAJECTORY & PROJECTIONS

Revenue Trend

- 2022 (Year 1): $1,050,000
- 2023 (Year 2): $1,420,000 (+35.2% growth)
- 2024 (Year 3): $1,850,000 (+30.3% growth, projected)
- **Trend:** Consistent, strong double-digit growth

Profitability Trend

- 2022 Net Income: $185,000 (17.6% margin)
- 2023 Net Income: $298,000 (21.0% margin)
- 2024 Net Income: $377,000 (20.4% margin, projected)
- **Trend:** Margins stable while scaling revenue

Cash Position

- 2023 Year-End Cash: $125,000
- 2024 Current Cash: $185,000 (+48% increase)
- **Trend:** Building cash reserves

SECTION 11: BUSINESS STRENGTHS & RISK ASSESSMENT

STRENGTHS

 Strong revenue growth (30%+ YoY)
 Excellent profitability (20%+ net margins)
 Outstanding DSCR of 4.87x (only needs 1.25x)
 Strong owner credit scores (748 and 721)
 Conservative leverage (43% debt-to-equity)
 Excellent collateral coverage ($825k for $450k loan)
 Healthy cash position and positive cash flow
 Experienced management team (founders with 15+ years tech experience)
 Recurring revenue from long-term client contracts

RISK FACTORS

⚠ High concentration risk (top 3 clients = 45% of revenue)
⚠ Tech industry is competitive and fast-changing
⚠ Dependent on skilled labor market (recruitment risk)
⚠ Business is only 3 years old (newer than ideal for some lenders)

SECTION 12: DECLARATION & CERTIFICATION

"I certify that the information provided in this loan application is true, accurate, and complete to the best of my knowledge. I understand that providing false information may result in loan denial and potential legal consequences."

Signature: *Jennifer Rodriguez*

Date: December 18, 2024

Title: CEO and Managing Member

FOR LENDER USE ONLY

Loan Officer Recommendation: _____
Credit Analysis Status: _____
Collateral Verification: _____
Background Check: _____
Final Approval Decision: _____

Date: _____
Approved By: _____

SUPPORTING DOCUMENTS PROVIDED

- ☑ Current Year-to-Date Profit & Loss Statement
- ☑ Last 2 Years Tax Returns (Business)
- ☑ Current Balance Sheet
- ☑ Last 3 Months Business Bank Statements
- ☑ Personal Financial Statements (both owners)
- ☑ Personal Tax Returns (2023 & 2022)
- ☑ Articles of Organization (LLC formation)
- ☑ Business License
- ☑ Equipment Appraisal List
- ☑ Real Estate Appraisal (property collateral)
- ☑ Credit Reports (primary and secondary owner)
- ☑ Business Plan & Growth Projections
- ☑ Key Client Contracts (confidentiality summary)
- ☑ Personal Guarantees (prepared)

Principal Owner 1

Full Legal Name: Amanda Rodriguez
Title: Managing Member & CEO
Ownership %: 60%
SSN: XXX-XX-6789
Date of Birth: April 12, 1978
Phone: (408) 555-7891
Email: amanda@zavacoffee.com

Home Address:
789 Mountain View Drive
San Jose, CA 95120

Personal Net Worth: $485,000
Credit Score: 742

Principal Owner 2

Full Legal Name: David Kim
Title: Member & COO
Ownership %: 40%
SSN: XXX-XX-3456
Date of Birth: September 8, 1980
Phone: (408) 555-7892
Email: david@zavacoffee.com

Home Address:
456 Oak Ridge Court
San Jose, CA 95125

Personal Net Worth: $325,000
Credit Score: 728

SECTION 3: LOAN REQUEST

Loan Details

Loan Amount Requested: $750,000
Loan Purpose: Business Expansion and Equipment Purchase
Loan Term Requested: 120 months (10 years)
Proposed Interest Rate: SBA Prime + 2.75%

Use of Proceeds

Purpose	Amount	% of Total
Equipment Purchase (New Roasters)	$425,000	56.7%
Leasehold Improvements	$150,000	20.0%
Working Capital	$100,000	13.3%
Inventory Purchase	$50,000	6.7%
Marketing & Branding	$25,000	3.3%
TOTAL	**$750,000**	**100%**

BUSINESS TAX RETURN - 2023

Form 1065 - U.S. Return of Partnership Income
Zava Coffee Roasters, LLC
EIN: 94-1234567

Tax Year: January 1 - December 31, 2023
Business Code: 311920

INCOME

Description	Amount
Gross Receipts or Sales	$2,847,500
Returns and Allowances	($42,300)
Net Sales	**$2,805,200**
Cost of Goods Sold	($1,235,400)

Description	Amount
Gross Profit	**$1,569,800**

DEDUCTIONS

Description	Amount
Salaries and Wages	$587,000
Guaranteed Payments to Partners	$180,000
Rent	$156,000
Utilities	$42,500
Repairs and Maintenance	$28,750
Insurance	$45,200
Professional Fees	$32,800
Marketing and Advertising	$85,400
Office Supplies	$18,900
Depreciation	$67,500
Interest Expense	$24,300
Other Expenses	$52,650
Total Deductions	**$1,321,000**

NET INCOME

Ordinary Business Income: $248,800

BALANCE SHEET (December 31, 2023)

ASSETS

Description	Amount
Cash	$125,400
Accounts Receivable	$185,600
Inventory	$267,800
Prepaid Expenses	$18,500
Current Assets	**$597,300**
Equipment	$425,000

Description	Amount
Less: Accumulated Depreciation	($156,800)
Leasehold Improvements	$189,000
Fixed Assets (Net)	**$457,200**
TOTAL ASSETS	**$1,054,500**

LIABILITIES

Description	Amount
Accounts Payable	$98,400
Credit Cards	$32,500
Accrued Expenses	$45,800
Current Portion - Equipment Loan	$28,600
Current Liabilities	**$205,300**
Equipment Loan (Long-term)	$185,700
Total Liabilities	**$391,000**

EQUITY

Description	Amount
Members' Capital	$415,700
Retained Earnings	$248,800
Total Equity	**$663,500**

TOTAL LIABILITIES & EQUITY: $1,054,500

FINANCIAL STATEMENTS - 2024 (Year-to-Date)

Zava Coffee Roasters, LLC
Period: January 1 - November 30, 2024

INCOME STATEMENT

Revenue

Description	Nov 2024	YTD 2024	Budget 2024
Wholesale Coffee Sales	$235,600	$2,456,800	$2,800,000

Description	Nov 2024	YTD 2024	Budget 2024
Retail Coffee Sales	$68,400	$712,500	$820,000
Equipment Sales	$15,800	$164,700	$180,000
Training & Consulting	$8,900	$98,400	$110,000
Total Revenue	**$328,700**	**$3,432,400**	**$3,910,000**

Cost of Goods Sold

Description	Nov 2024	YTD 2024
Green Coffee Beans	$92,500	$978,600
Packaging Materials	$18,400	$198,900
Direct Labor	$28,900	$312,500
Freight In	$6,800	$72,400
Total COGS	**$146,600**	**$1,562,400**

Gross Profit: $182,100 | $1,870,000
Gross Margin: 55.4% | 54.5%

Operating Expenses

Description	Nov 2024	YTD 2024
Salaries & Wages	$58,700	$645,700
Payroll Taxes	$8,200	$90,200
Rent	$14,500	$159,500
Utilities	$4,200	$46,200
Insurance	$4,500	$49,500
Marketing	$12,800	$140,800
Professional Fees	$3,200	$35,200
Repairs & Maintenance	$2,800	$30,800
Office Supplies	$1,900	$20,900
Vehicle Expenses	$3,400	$37,400
Depreciation	$6,200	$68,200
Interest Expense	$1,850	$20,350
Other Operating Expenses	$4,600	$50,600

Description	Nov 2024	YTD 2024
Total Operating Expenses	**$126,850**	**$1,395,350**

Net Operating Income: $55,250 | $474,650
Net Profit Margin: 16.8% | 13.8%

BALANCE SHEET (November 30, 2024)

ASSETS

Current Assets:

Description	Amount
Cash & Cash Equivalents	$158,900
Accounts Receivable	$245,800
Inventory	$312,500
Prepaid Expenses	$24,600
Total Current Assets	**$741,800**

Fixed Assets:

Description	Amount
Equipment	$425,000
Accumulated Depreciation	($225,000)
Leasehold Improvements	$189,000
Vehicles	$68,000
Net Fixed Assets	**$457,000**

TOTAL ASSETS: $1,198,800

LIABILITIES

Current Liabilities:

Description	Amount
Accounts Payable	$124,500
Credit Cards	$28,400
Accrued Expenses	$52,800
Current Portion - Term Loan	$28,600

Description	Amount
Total Current Liabilities	**$234,300**

Long-Term Liabilities:

Description	Amount
Equipment Loan	$157,100
Total Liabilities	**$391,400**

EQUITY

Description	Amount
Members' Capital	$332,750
Current Year Earnings	$474,650
Total Equity	**$807,400**

TOTAL LIABILITIES & EQUITY: $1,198,800

BANK STATEMENTS

ZAVA BUSINESS BANK
Business Checking Account

Account Name: Zava Coffee Roasters, LLC
Account Number: XXXX-XXXX-5678
Statement Period: November 1-30, 2024

ACCOUNT SUMMARY

Beginning Balance (Nov 1): $142,685.50
Total Deposits: $342,875.00
Total Withdrawals: $326,660.50
Ending Balance (Nov 30): $158,900.00

Average Daily Balance: $150,792.75

MAJOR DEPOSITS

Date	Description	Amount
11/01	Customer Payments - ACH	$45,680.00

Date	Description	Amount
11/05	Wholesale Customer - Wire	$87,500.00
11/08	Retail Sales - Week 1	$12,340.00
11/12	Customer Payments - ACH	$52,890.00
11/15	Retail Sales - Week 2	$14,275.00
11/19	Wholesale Customer - Check	$68,450.00
11/22	Retail Sales - Week 3	$13,580.00
11/26	Customer Payments - ACH	$34,560.00
11/29	Retail Sales - Week 4	$13,600.00

MAJOR WITHDRAWALS

Date	Description	Amount
11/01	Rent Payment	$14,500.00
11/01	Equipment Loan Payment	$2,383.33
11/05	Payroll - Biweekly	$29,350.00
11/07	Supplier - Green Coffee Beans	$42,500.00
11/10	Packaging Supplier	$8,450.00
11/12	Utilities	$4,200.00
11/15	Insurance Premium	$4,500.00
11/19	Payroll - Biweekly	$29,350.00
11/20	Marketing Agency	$12,800.00
11/25	Supplier - Green Coffee Beans	$38,900.00
11/28	Vehicle Fuel & Maintenance	$3,400.00
11/30	Tax Payment - Sales Tax	$8,675.00

DEBT SCHEDULE

Zava Coffee Roasters, LLC
As of December 1, 2024

EXISTING BUSINESS DEBTS

Loan 1: Equipment Financing

Creditor: Zava Equipment Finance
Original Amount: $250,000
Current Balance: $157,100
Monthly Payment: $2,383.33
Interest Rate: 6.25%
Maturity Date: March 15, 2028
Collateral: Coffee Roasting Equipment
Purpose: Equipment Purchase (2022)

Loan 2: Business Line of Credit

Creditor: Zava Business Bank
Credit Limit: $100,000
Current Balance: $28,400
Minimum Payment: 2% of balance
Interest Rate: Prime + 3.5% (11.5% currently)
Renewal Date: Annual - February 2025
Collateral: Accounts Receivable
Purpose: Working Capital

TOTAL MONTHLY DEBT SERVICE

Total Monthly Payments: $2,951.33
Annual Debt Service: $35,416.00

PROPOSED DEBT SERVICE (WITH NEW LOAN)

Existing Debt Service: $35,416.00
New Loan Payment (estimated): $8,250.00 monthly
Total Proposed Annual Debt Service: $134,416.00

Debt Service Coverage Ratio (Current):
EBITDA: $542,850 / Annual Debt Service: $35,416 = **15.3x**

Projected DSCR (With New Loan):
Projected EBITDA: $650,000 / Total Debt Service: $134,416 = **4.8x**

PERSONAL FINANCIAL STATEMENT

SBA Form 413

Name: Amanda Rodriguez
As of: December 1, 2024

ASSETS

Description	Value
Cash in Banks	$48,500
Stocks & Bonds	$125,000
Retirement Accounts (401k, IRA)	$185,000
Primary Residence	$875,000
Business Interest (60% of Zava Coffee)	$484,440
Vehicles	$42,000
Personal Property	$35,000
Total Assets	**$1,794,940**

LIABILITIES

Description	Balance
Mortgage - Primary Residence	$485,000
Auto Loan	$18,500
Credit Cards	$12,800
Student Loans	$0
Personal Guarantee - Business Loan	$157,100
Total Liabilities	**$673,400**

NET WORTH: $1,121,540

INCOME

Annual Salary from Business: $120,000
Business Distributions: $60,000
Investment Income: $8,500
Spouse Income: $95,000
Total Annual Income: $283,500

Prepared by: Amanda Rodriguez
Date: December 1, 2024
Signature: _____